

absolutely no sense. If your entry and exit strategy is out of sync with the reason you like the trade, then you don't have an internally consistent money management plan, which means it will fail.

So, you need to decide where you are wrong before you determine the stop point.

First, you decide where you are wrong. That determines where the stop level should be. Then you work out how much you are willing to lose on the idea. Last, you divide the amount you're willing to lose by the per-contract loss to the stop point, and that determines your position size. The most common error I see is that people do it backwards. They start with position size. Then they know their pain threshold, and that determines where they place their stop.



The popular perception of the successful global macro manager is a trader who has an ability to forecast major trends in world markets (FX, interest rates, equities, commodities) through skillful analysis and insight. O'Shea emphasizes that his edge is not forecasting what will happen, but rather recognizing what has happened. O'Shea believes that it is very difficult to pick a major turning point, such as where a market bubble will top, and that trying to do so is a losing strategy. Instead, he waits until events occur that confirm a trading hypothesis. For example, he thought that excessive risk-taking during 2005 to 2007 had inflated various markets beyond reasonable levels and left the financial markets vulnerable to a major selloff. Nevertheless, insofar as he sees his role as trading in response to the prevailing market facts, rather than forecasting turning points, he actually had bullish positions on during this time. He did not switch to a bearish posture until an event occurred that he saw as a confirmation that the markets were in the process of rolling over—the drying up of liquidity in the money markets in August 2007. He didn't need to forecast anything, but he did need to recognize the significance of an event that many ignored. Indeed, the S&P 500 went on to make new highs in the next two months.

O'Shea believes that how a trade is implemented is more important than the trade idea itself. He seeks to implement a trade in the way that provides the best return-to-risk and limits losses in the event the trade is wrong. For